

BUSINESS LOAN PRODUCTS FOR SME AND MSME

Department: Sales | Category: Business Loan | Year: 2024 | CONFIDENTIAL

BAJAJ FINANCE LIMITED

INTERNAL POLICY DOCUMENT

BUSINESS LOAN PRODUCTS FOR SME AND MSME

INTRODUCTION

This document outlines the policy governing the issuance of business loans to Small and Medium Enterprises (SME) and Micro, Small and Medium Enterprises (MSME). Bajaj Finance Limited is committed to providing tailored financial solutions to support the growth and operational needs of these businesses.

LOAN AMOUNT RANGE

Business loans are available within the range of Rs. 5,00,000 to Rs. 50,00,000.

TENURE OPTIONS

Loan tenure options range from 12 months to 60 months, allowing flexibility in repayment based on the business's cash flow and financial planning.

ELIGIBILITY CRITERIA

- **Business Vintage**:**
 - Minimum of 3 years of continuous operation.
- **Annual Turnover**:**
 - Minimum annual turnover of Rs. 20,00,000.
- **CIBIL Score**:**
 - A minimum CIBIL score of 700 is required for loan consideration.

BUSINESS TYPES ELIGIBLE

The following business structures are eligible to apply for business loans:

- Proprietorship Firms
- Partnership Firms
- Private Limited Companies (Pvt Ltd)

INTEREST RATE RANGE

The interest rate on business loans ranges from 12% to 18% per annum, subject to the risk profile and financial assessment of the applicant.

COLLATERAL REQUIREMENTS

Business loans up to Rs. 10,00,000 may not require collateral, subject to credit evaluation. For loans exceeding this

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amount, collateral may be required, including but not limited to property, inventory, or other business assets.

DOCUMENT REQUIREMENTS

1. **Identity Proof**:

- PAN Card, Aadhaar Card, Passport, or Voter ID.

2. **Address Proof**:

- Utility Bills, Lease Agreement, or Ownership Documents.

3. **Business Proof**:

- GST Registration, Trade License, or Certificate of Incorporation.

4. **Financial Documents**:

- Audited financial statements for the last 2 years, bank statements for the last 6 months.

5. **Income Tax Returns**:

- Filed returns for the last 2 years.

CONCLUSION

This policy document serves as a comprehensive guide for the administration of business loans to SMEs and MSMEs by Bajaj Finance Limited. It ensures that all loan applications are processed with transparency, fairness, and efficiency. All personnel are expected to adhere strictly to the criteria and procedures set forth in this document.